COURSE

## OCR GCSE (9-1) in Business (J204)

# Stakeholders and ethics

**1. Business activity · 1.5 Stakeholders in business; 6.1 Ethical and environmental considerations**

Revision for 1. Business activity: each firm works it out on its own deals.

Class **OCR GCSE Business (J204)** Topic **Stakeholders and ethics**

THE LESSON

**Setup** 2 min

**Round 1** Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions | Deals | TASK 1 Closing a branch | TASK 2 Who would object

**Round 2** Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions | Deals | TASK 3 Rank fair wage cost | TASK 4 Fair pay cost | B2B deal

**Round 3** Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions | Deals | TASK 5 Green or cheaper | TASK 6 Above-minimum pay | B2B deal

**Final questions** 3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** | Buy property or funds. The value can rise or fall. |
| **Operations** | **Buying** | Hire the Procurement Specialist or the Stock Controller for the round. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

You close a loss-making branch. Its 10 staff lose their jobs.

**Who gains and who loses?**

PICK ONE

- ○ Customers gain, owners lose
- ✔ **Owners gain, staff lose**
- ○ Staff gain, owners lose
- ○ Suppliers gain, staff lose

**Why:** Cutting a loss raises owners' profit, but the staff lose their income.

## Task 2

ROUND 1

You plan to build a bigger showroom on part of a local park.

**Which two groups are most likely to object?**

PICK TWO

- ✔ **A local environmental group**
- ✔ **Local residents**
- ○ Your car suppliers
- ○ Your sales staff
- ○ Your shareholders

**Why:** Residents and pressure groups lose the park; the firm's own groups gain.

## Task 3

ROUND 2

Three branches move staff to a fairer wage.

**Order by extra cost a week, lowest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **15 staff, £20 more each**
2. **10 staff, £40 more each**
3. **6 staff, £80 more each**

**Why:** £300, £400 and £480 a week: the most staff is the lowest cost.

## Task 4

ROUND 2

You raise pay above what rivals pay.

**Extra wage cost a year? 52 weeks.**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Staff | **12 staff** |
| Pay now, each, a week | **£470** |
| Rise, each, a week | **£35** |

METHOD

**Extra cost = staff × rise a week × 52**

12 × £35 × 52 = £21,840

**Why:** Fair pay costs more, but staff are more likely to stay.

## Task 5

ROUND 3

A green valeting firm costs £300 more a month. Most buyers say the planet matters to them.

**Which firm should you use, and why?**

PICK A OR B AND GIVE A REASON

- ✔ **The green valeting firm**
- ○ Your current, cheaper firm

**Why:** Your buyers value it, so the green choice can win sales and goodwill worth more than £300.

## Task 6

ROUND 3

You pay staff well above the legal minimum wage, though rivals do not.

**Which pair of effects is most likely?**

PICK ONE

- ○ Higher wage costs, higher turnover
- ✔ **Higher wage costs, lower turnover**
- ○ Lower wage costs, higher turnover
- ○ Lower wage costs, lower turnover

**Why:** Fair pay costs more, but staff are more likely to stay.

# Final questions

**6**
questions for each pupil

**150**
Level 2 Business questions

**9**
of them on stakeholders and ethics

**The game draws 6 questions on this topic.**

1 What would make vehicle sourcing more ethical?
**Checking suppliers' labour and environmental practices.**

2 Customers increasingly ask how a dealership reduces waste and emissions. This is best described as what influence?
**An environmental influence on business decisions.**

3 Residents object to delivery lorries arriving before 6 a.m. Which stakeholder response is most appropriate to consider?
**Discussing quieter delivery times with them.**

4 A repair chain claims to use responsibly recycled parts. What action best supports the claim?
**Check suppliers' evidence that the claim is true.**

5 A campaign group criticises the dealership's disposal of tyres. What is the strongest response?
**Check its records, fix problems, share evidence.**

6 Longer opening hours would bring more sales but late noise for residents. What is the best approach?
**Weigh sales against residents' impact and consult.**

7 A cheap supplier cannot show how hazardous waste is handled. What should the CEO consider?
**The legal and reputation risks, not just price.**

# Final questions

8 A stakeholder is anyone affected by a business decision. A dealer plans Sunday opening. One side, named for you: customers gain, visiting on a day off. Name the other side.

**Staff lose: they must work a day that was theirs.**

9 Before deciding to close the Saturday desk, the CEO lists who is affected: Saturday technicians, Saturday customers and the landlord whose lease sets opening hours. What is this list?

**The stakeholders in the decision.**